

Restoration Hardware RH

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by

JackBlack

2026 2027

Price:	144.00	EPS	4.06	8.86
Shares Out. (in M):	19	P/E	35	16
Market Cap (in \$M):	2,721	P/FCF	8	10
Net Debt (in \$M):	2,416	EBIT	314	421
TEV (in \$M):	5,046	TEV/EBIT	16	12

Description

RH: A Coiled Spring

Note: This is a short-term trading call as opposed to a long-term recommendation. Nonetheless, I believe it is juicy enough to warrant examination.

Restoration Hardware (NYSE: RH) is a leading furniture retailer for affluent to ultra wealthy consumers. It has 33% short interest, which signals a complete lack of faith in its business model and CEO. However, it is a profitable retailer with a differentiated strategy and (in my opinion) high-quality, appealing merchandise. The stock is down more than 75% from an all-time high of \$701 and down 24% from its peak in July.

Furniture sales are highly correlated with housing turnover. During the pandemic, RH rode a huge wave in housing to extraordinary success, achieving \$1.09B in EBITDA in FY2022, nearly tripling its FY2019 level. In the housing recession that followed, RH's EBITDA fell roughly 50%. Thanks to a foolish levered buyback plan, EPS fell much more. However, it is logical that the historical relationship between housing turnover and furniture sales will hold, so RH should recover when housing improves.

While broad indicators of housing turnover have remained sluggish, high end housing has been on fire. According to data from the National Association of Realtors, existing home sales in price points above \$500K have been growing rapidly in recent months. These numbers were corroborated by outstanding quarterly results from high-end real estate brokerage Compass. RH's fiscal 2Q covers the months of May through July. As shown below, those were three phenomenal months of growth for high-end real estate.

Y/Y Change in Existing Home Sale Transactions

	Sales Price (\$)					
	0-100k	100-250k	250-500k	500-750k	750k-1mm	1mm
Jan-26	-13.90%	-9.10%	-4.10%	-4.20%	-4.40%	2.10%
Feb-26	-5.70%	-2.40%	0.70%	2.80%	0.70%	5.50%
Mar-26	-10.60%	-1.60%	7.10%	9.30%	9.60%	9.30%
Apr-26	-5.90%	-1.30%	3.60%	6.00%	4.50%	9.30%
May-26	-9.10%	-5.30%	2.00%	4.00%	4.60%	11.20%
Jun-26	-1.70%	0.90%	8.50%	12.30%	13.70%	18.00%
Jul-26	-3.20%	-2.30%	4.60%	8.60%	11.10%	14.80%

Source: NAR

Other higher-end furniture retailers have already reported excellent results for the most recent quarter. First to report was Wayfair, which saw its revenue growth accelerate, led by 35% growth in its luxury site, Perigold. Wayfair's stock was up 30% on the print. Next was Arhaus, which saw same-store revenues accelerate almost 600bps. That stock was up 18% on the print. Both of those companies had quarters ending on 6/30/26. Next came Williams-Sonoma, which put up accelerating comps, including a 400bps improvement in Pottery Barn. That was for the quarter ending August 2, 2026, which includes a much stronger month for housing turnover.

While the aforementioned companies touted their strong results despite a weak housing market, it looks their performance was actually due to strong high-end housing activity. If my hypothesis is correct, then RH could be about to deliver a very big surprise to the market.

Street estimates contemplate 2% revenue growth for RH's second quarter ended 8/2/26, up from -2% in F1Q27 but off of a 400bps easier comparison. That strikes me as a very low bar considering the acceleration in high-end housing activity and the results of its closest competitors. For a stock that has fallen significantly over the period during which all of these competitors posted strong results, the upcoming RH print looks like a catalyst for a squeeze in a heavily-short stock. What is even more interesting is that the acceleration in underlying demand for high-end furniture potentially gives air cover for RH management to tout the early success of some of its recent initiatives. Management has pinned a lot of hopes on its new Estates collection. With strong comps in the current quarter, it will be hard to disprove that Estates is off to a strong start.

RH appears to be a coiled spring. None of the competitors has anywhere near the short interest than RH has. I believe a squeeze could be imminent that would make the 30% move in Wayfair look pedestrian.

Risks

RH does not deliver the comp acceleration.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Quarterly earnings on or about 9/11/26

Messages

Subject	Lag
Entry	09/02/2026 01:47 AM
Member	bafana901
What do you think the lag is between the reported sale of a house and the purchase of furniture for high end houses? I am guessing many people like to renovate before moving in which could delay the purchase of furniture.	
Subject	Re: Lag
Entry	09/03/2026 12:04 AM
Member	JackBlack
I'm sure there is some of that. I think interior design work, which also takes time, would be even more common than renovations. However, given the fairly consistent improvement in high-end housing transactions since January, it's likely we will see some benefit from lagged purchases in this quarter. Any lag to recently-closed home sales would also imply a nice tailwind for the back half of this year.	
Consider the opposite position. How would someone feel comfortable riding a short position into this print? Being long feels much easier to me.	
Subject	Re: Re: Lag
Entry	09/11/2026 03:26 AM
Member	CaptainAyub
Thoughts on the Q? Burden of proof on Estates launch?	
Subject	Re: Re: Re: Lag
Entry	09/11/2026 11:20 AM
Member	JackBlack
Decent quarter but left themselves with a hockey stick guide, which is why I think shorts are staying put. I was hoping for more early data on Estates. Nobody believes anything Gary says, so I think the anecdotes were insufficient. Maybe we can get a bear to opine. They have a profitable business with some cyclical and idiosyncratic growth drivers. With one-third of the shares sold short, it seems like a dangerous "valuation" short.	